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1. The Canary in the AI Coal Mine

Author: Kenneth Rogoff **Published:** Aug 3, 2026 **Link:** [View Original](#)

CAMBRIDGE—The AI race between the United States and China is accelerating at a breathtaking pace. Time and again, the US has appeared to pull ahead, only to see China quickly close the gap.

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Companies have poured billions of dollars into AI in anticipation of transformative productivity gains and cost savings, but the returns have yet to justify those investments. Rising costs, intellectual-property risks, and mounting cybersecurity threats call for a more disciplined approach to AI adoption.

At the heart of this competition lie two contrasting visions of how AI should be developed and deployed. While US firms largely rely on proprietary technologies to maintain their competitive advantage, China has increasingly embraced open-source AI, making advanced models widely available to developers around the world.

Different strategies notwithstanding, both countries are locked in an arms race which neither side is willing to slow. As speed becomes the overriding priority, safety increasingly takes a back seat, despite the uncomfortably high risk of catastrophic failure arising from the combination of human error and superintelligent AI.

A recent security breach involving OpenAI and Hugging Face has underscored the danger of treating safety as an afterthought. The incident occurred while OpenAI researchers were evaluating the cybersecurity capabilities of two frontier AI models. To identify weaknesses and vulnerabilities that sophisticated hackers might exploit, they temporarily disabled many of the models' normal safeguards.

The experiment was conducted inside a tightly controlled "sandbox." Although the models' behavioral guardrails had been temporarily removed, the sandbox was supposed to prevent them from accessing the open internet, where they could—at least in theory—have caused enormous damage.

Instead, the models treated the sandbox itself as an obstacle. Exploiting a previously unknown flaw in third-party software, they circumvented its restrictions and gained access to the open internet. Did they "go rogue"? Not exactly. After all, they were simply pursuing the objective they had been given: to solve a difficult cybersecurity problem as efficiently as possible.

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Although the models likely could have completed the task from within the sealed sandbox, they "inferred" that it would be far easier to infiltrate Hugging Face—which hosts over two million open-source AI models—and, in OpenAI's words, "obtain test solutions directly from Hugging Face's production database." For an AI with advanced hacking capabilities, breaking into another system was child's play. In fact, the breach went undetected for days and apparently spread to a second firm.

From the models' perspective, this was not "cheating," as they had not violated any explicit rule encoded by their developers—they had merely found a more efficient way to achieve their objective. Perhaps most unsettling, one of the models reportedly left behind notes explaining how future AI systems could break out of OpenAI's sandbox more easily.

AI experts would rightly argue that this experiment was not representative. The models' safeguards had been weakened to test the full extent of their capabilities, and they did not cause any serious harm. They did not, for example, break into the systems of the US Federal Reserve or the European Central Bank. Nevertheless, the episode demonstrated how seemingly minor human errors can be amplified by AI, with potentially catastrophic consequences.

The incident is eerily reminiscent of the much-debated (and still-unproven) COVID-19 lab leak theory, which holds that the virus escaped from a laboratory in Wuhan, China, where researchers were allegedly conducting risky "gain of function" research on viruses. In both cases, human error and hubris—not malice—are the ultimate culprits. History offers plenty of similar cautionary tales.

The spread of open-source AI models compounds the problem. With cutting-edge AI tools no longer confined to a handful of leading laboratories, it is only a matter of time before rogue states and terrorist groups attempt to use them to develop biological weapons, novel toxins, or dirty bombs. It is dangerously naive to assume, as many US policymakers appear to do, that such capabilities exist only in Silicon Valley.

But the most immediate danger may be political, not technological. AI already enables malicious actors to create increasingly convincing deepfakes and voter-manipulation campaigns on an unprecedented scale. Left unchecked, these tools could further erode public trust, fuel political polarization, and accelerate social fragmentation.

Rapid AI development could also pave the way to authoritarianism, as periods of social instability often create opportunities for governments to expand their authority in the name of restoring order, combating inequality, or protecting national security. Under President Donald Trump, it can sometimes feel as though the US is already moving in that direction. But a future Democratic administration may prove just as willing to exploit AI in pursuit of its own political goals.

None of this diminishes AI's extraordinary promise. The technology could revolutionize medicine by supercharging research on diseases such as cancer and Alzheimer's, transform food production, and help tackle climate change—and that is only scratching the surface. The question, then, is not whether AI should advance, but how quickly and at what cost.

Here lies the central dilemma: US tech firms' principal argument against regulating AI is that doing so would cause America to lose ground to China. But if China can eventually mimic or steal every major US breakthrough—as it has repeatedly done—a permanent race to build ever more powerful AI is a recipe for disaster. Lasting safety will ultimately require some degree of international cooperation, much as nuclear arms control became indispensable during the Cold War.

While AI raises profound concerns about employment, inequality, and social cohesion, none is more important than safety. The industry's argument that meaningful regulation must be avoided because it would slow innovation or undermine US competitiveness seriously understates the risks of deploying increasingly sophisticated AI systems before we know how to control them.

To be sure, regulators will make mistakes, and some rules may prove overly restrictive. But those errors can be corrected. The consequences of rushing one of the most consequential technologies humanity has ever created without adequate safeguards, by contrast, may not be.

The Hugging Face hack should serve as a stark warning to policymakers in Washington and Beijing. Winning the AI race will matter little if, in the process, we create hazards that no country can contain.

2. The Painful Incompetence of the Indian State

Author: Devesh Kapur **Published:** Aug 3, 2026 **Link:** [View Original](#)

WASHINGTON, DC—Recent student-led protests, which forced Indian Prime Minister Narendra Modi’s typically unyielding regime to capitulate on key demands, dented Modi’s personal aura of power and exposed the limits of his government’s ability to curb dissent through heavy-handed repression. But the protests also exposed a broader and more prosaic characteristic of the Indian state: incompetence.

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The catalyst for the protests was a bungled exam process. In India—like in China, Japan, South Korea, and Vietnam—students’ futures are decided largely by their performance on one exam. They spend years preparing for these high-stakes tests, which determine whether they gain entrance to one of a limited number of high-quality institutions of higher education or access to coveted government jobs.

Given the scarcity of university places, Indian students who can afford to head to universities abroad increasingly do so: in the last eight years, this figure has tripled, from around 450,000 in 2017 to 1.25 million in 2025. For lower-middle-class youth, however, there are only a few ladders of social mobility, and university entrance exams are invariably the first rung.

As stressful as the exams are, until recently they were conducted reasonably smoothly. Nonetheless, in 2017, the growing number of exams (and students taking them) spurred the government to establish a centralized body, the National Testing Agency, to administer them. There was just one problem: the NTA’s capacity was never up to the job. While more than ten million students take entrance exams in thousands of centers, hundreds of cities, and more than a dozen languages each year, the NTA’s workforce is just 39 people, with a mere 24 in permanent posts.

The agency apparently believed that it could fill the gaps through outsourcing. But errors proliferated: paper leaks, postponed exams, mistakes in questions, and delays in announcing exam results. Last year, a parliamentary committee noted dryly that the NTA’s performance had “not inspired much confidence.”

This year, allegations of a leak forced millions to retake a grueling medical entrance exam, and grading discrepancies emerged on a different exam. Against a backdrop of high youth unemployment and a gratuitous insult from a Supreme Court justice, students were outraged. They poured into the streets demanding the education minister’s resignation and broader education reform. When heavy-handed tactics failed to quell the movement, the government was forced to offer concessions—an unnerving outcome for Modi’s regime.

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The problem extends beyond the NTA. India's relatively weak state capacity, which lags significantly behind that of East Asian countries, has long hampered the economy's development. Modi has been promising to address the problem since he came to power in 2014. But while his government's emphasis on centralizing power and strengthening executive control has improved the "hardware" (infrastructure), it has come at the cost of deteriorating "software" (policies and institutions)—crucial for long-term development.

Improving the state's bureaucratic machinery, including by attracting talented people, should have been a no-brainer. But by systematically prioritizing loyalty over competence, Modi's government has inadvertently fostered risk aversion and mediocrity among senior bureaucrats. The fact that the government was caught off-guard by the frustration among India's youth was not just a failure of discernment; it was an inevitable consequence of shutting out non-partisan sources of information.

Making matters worse, key officials are simply too old to grasp the dynamics of our rapidly changing world, let alone adapt to them. What limited policy changes have been undertaken have mostly been responses to external pressure, whether from Donald Trump or the growing threat from China.

Instead, Modi's government has placed the highest priority on advancing narrow ideological objectives. For the Bharatiya Janata Party (BJP)—and its ideological parent, Rashtriya Swayamsevak Sangh—controlling the education ministry is vital to propagate Hindutva (Hindu-nationalist) ideology. It is widely believed that academic appointments, from vice-chancellors to faculty, must have the RSS's blessing.

The Modi government has also throttled other essential levers for strengthening the state's capabilities, from sub-national governments to civil society, mostly due to its deep mistrust and intolerance of anything it cannot control. Without "cooperative federalism," India cannot meet the many pressing challenges it faces, whether in education, energy, or the environment. But under Modi, states have little authority. As a result, not even the issues that directly affect India's political elite—such as severe air pollution in Delhi—get resolved.

Meanwhile, the government muzzles NGOs and think tanks if they dare to question its self-congratulatory messaging. This has impeded efforts to augment the state education system and redress the poor outcomes that have become standard for Indian schoolchildren, jeopardizing their futures and India's development and prosperity. In addition, draconian laws governing foreign funding have undermined the philanthropic efforts of India's well-heeled diaspora.

The Modi government has failed to strengthen even the agencies tasked with implementing its own priorities. In 2020, the government unveiled a forward-looking National Education Policy, aimed at transforming the education system to deliver universal high-quality education. Six years later, nearly two-thirds of staff positions at the country's two principal higher-education regulators are vacant, stymieing progress.

Modi was propelled to power by popular frustration with the Congress-led government's corruption and incompetence. But, 12 years later, his government's record reflects the same pathologies. While the BJP felt untouchable earlier this year, following its unprecedented landslide victory in the West Bengal state elections, India's young people have now offered it a somber reminder that a pendulum swings back at its apogee.

3. The Case for a Pay-Where-You-Play Tax System

Author: Jayati Ghosh **Published:** Aug 3, 2026 **Link:** [View Original](#)

NEW DELHI—This week, delegates from around the world will gather in New York to negotiate the proposed United Nations Framework Convention on International Tax Cooperation, a landmark agreement aimed at making global tax cooperation more inclusive and effective. If adopted, the Convention would represent the most consequential overhaul of the global tax system in nearly a century, fundamentally changing how countries tax multinational corporations and, potentially, the world’s wealthiest individuals.

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New research by the global union federation Public Services International (PSI) and the Tax Justice Network underscores the urgent need to reform the international tax system. Drawing on publicly available country-by-country reporting data, it estimates that governments could collect an additional \$500 billion in corporate tax each year by replacing today’s “pay-where-you-say” system with a “pay-where-you-play” approach.

The current system is the product of century-old rules that are no longer fit for purpose. By allowing governments to tax multinational corporations where they declare their profits rather than where they generate them, it rewards companies for shifting taxable income into tax havens before reporting it.

In 2012, the G20 tasked the OECD with aligning where profits are reported with where companies actually operate. That effort failed, and profit shifting has only intensified. According to the PSI/Tax Justice Network report, taxing profits where they are actually earned would increase multinational corporations’ tax payments by 24% without requiring any country to raise its corporate tax rate.

The negotiations in New York represent the best opportunity in decades to replace the outdated “pay-where-you-say” model with a “pay-where-you-play” framework that taxes multinational corporations where they employ people and sell goods and services. This reform could make tax havens obsolete overnight and restore governments’ ability to tax economic activity taking place within their own borders.

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Under such a framework, the largest revenue gains would go to the world’s richest economies, but the greatest impact would be felt in the poorest. For many lower-income countries, the additional revenue would amount to several times what they currently collect from multinational corporations. This is consistent with the findings of the annual State of Tax Justice reports: while the largest economies lose the most to corporate tax abuse in absolute terms, lower-income countries suffer the greatest losses relative to the size of their tax bases.

That is not to say that advanced economies would not benefit. The United States, for example, would collect an estimated \$35.5 billion in additional tax revenue—enough to increase spending on renewable energy 45-fold and create more than 265,000 jobs. The United Kingdom would receive \$16.9 billion, enough to fund its newly introduced cost-of-living measures six times over. EU member states, meanwhile, would collect roughly \$65.7 billion annually, enough to quadruple current spending on climate adaptation in agriculture, energy, and transport. Spain and France, both confronting their most devastating wildfire seasons on record, would receive \$4.2 billion and \$25.5 billion, respectively.

For the Global South, the gains would be transformative. In a single year, the report estimates, lower-income countries would collect more than the total amount they currently owe the International Monetary Fund in outstanding loans.

So how do we move from today's "pay-where-you-say" system to a genuine "pay-where-you-play" one? Article 5 of the draft UN Tax Convention—the product of two years of negotiations—tries to do just that by allocating taxing rights among countries based on clear, objective factors like sales, employment, and natural resources.

If adopted, the Convention would end the century-old practice of transfer pricing, through which multinationals use internal transactions to shift profits to low- or no-tax jurisdictions with little connection to where they actually do business. Every country except the most aggressive corporate tax havens stands to benefit from such a change, and even those jurisdictions can offset their losses by simply imposing moderate taxes on the profits earned within their borders.

That said, the draft Convention can still be strengthened. The commitment to a "pay-where-you-play" approach must be backed by practical measures, particularly country-by-country reporting (CbCR)—a simple yet powerful transparency tool that requires multinational corporations to report key financial information separately for every jurisdiction in which they operate. Since 2015, large multinationals have been required under OECD rules to provide these reports confidentially to tax authorities. Making them public would subject multinationals to the same accountability standards as smaller domestic businesses.

Strikingly, even private reporting has been shown to increase companies' effective tax rate by around 1.5 percentage points, generating tens of billions of dollars in additional revenue. And where those same reports are made public, the gains are roughly twice as large.

Public reporting would also ensure that all countries benefit equally. At present, reliable access to CbCR remains largely limited to OECD members. Most lower-income countries receive incomplete information, obtain it only after long delays, or have no access to it at all. With the EU and Australia already requiring public CbCR for selected high-risk jurisdictions, there is no justification for denying every other country access to the same data. The UN Convention must therefore establish a global CbCR database.

Lastly, it is worth remembering that democracy itself emerged from the struggle for fair taxation, reflected in the principle of "no taxation without representation." For decades, multinational corporations have been shifting profits out of the countries where they are generated into accounting "nowhere" zones. This has led to widespread economic insecurity, creating fertile ground for billionaire-backed authoritarianism.

The UN Tax Convention offers a different path, asserting that the shops, offices, factories, and workers that generate global profits matter. By restoring the link between where profits are made and where they are taxed, the Convention advances a modern form of taxation with representation and carries forward one of democracy's oldest principles.

As negotiations conclude in New York, delegates must ensure that the UN Tax Convention lays the foundation for a fairer, more transparent international tax system. The alternative is to preserve a tax system that has repeatedly put corporate interests ahead of people and the planet.

4. What a Sino-American G2 Would Mean for Asian Security

Author: Brahma Chellaney **Published:** Aug 3, 2026 **Link:** [View Original](#)

TOKYO—Grand foreign-policy strategies rarely disappear overnight. More often, they are dismantled gradually through subtle rhetorical shifts, bureaucratic adjustments, and changing diplomatic priorities. America's Indo-Pacific strategy is no exception.

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A decade ago, then-Japanese Prime Minister Abe Shinzō unveiled the concept of a “free and open” Indo-Pacific. Based on the idea that the Indian and Pacific Oceans form a single strategic theater, he sought to build a coalition of democracies committed to preventing any one power from dominating the region.

The United States subsequently embraced this vision, reviving the Quad coalition and establishing its members—Australia, India, Japan, and the US—as the principal anchors of the regional balance of power. The underlying strategic logic was compelling. Like the alliance system more broadly, the Indo-Pacific coalition would amplify US influence by encouraging middle powers to shoulder greater responsibility for regional stability. Moreover, its multiple centers of power and shared objective would make it inherently resilient.

More recently, however, US President Donald Trump has advanced the idea of a “G2” comprising just the US and China. Unlike the free and open Indo-Pacific vision, which seeks to maintain stability by cultivating a broad network of like-minded partners, the G2 concept assumes that the world's two leading powers should shape the regional and global order through direct negotiations.

The approach elevates bilateral deal-making at the expense of multilateral diplomacy, thereby diminishing the strategic weight of middle powers—and, by extension, US influence. Its durability largely rests on the personal chemistry and shifting calculations of leaders in Washington and Beijing. While Trump seems to be warming up to Chinese President Xi Jinping today, there is no telling what tomorrow will bring. Simply put, the G2 is a highly unstable proposition.

One might be tempted to dismiss this as just another example of Trump's unconventional diplomacy, which often emphasizes bilateral bargaining over coalition-building. But his administration has also systematically deprioritized the Quad, with its latest National Security Strategy making just a single passing mention of the grouping. The US Department of Defense, for its part, has reverted to referring to its principal theater as the “Pacific,” instead of the “Indo-Pacific.”

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Together, these developments suggest that this is no temporary bluff or brief diplomatic glitch. Under Trump, the free and open Indo-Pacific strategy is unraveling.

This carries grave risks for Japan. Over the past decade, Abe's Indo-Pacific vision has anchored Japan's national security strategy, with the goal of ensuring that China does not concentrate its military pressure in East Asia. If the US focuses exclusively on the Western Pacific, Japan would lose its strategic depth and risk finding itself face-to-face with China's maritime might.

None of this is lost on Japanese Prime Minister Sanae Takaichi, who has redoubled her commitment to the vision of a free and open Indo-Pacific. In May, she unveiled an updated Indo-Pacific framework emphasizing regional economic resilience and enhanced security cooperation. Her government has been reinforcing the partnerships that give the strategy practical effect by deepening strategic ties with India and Australia and expanding "minilateral" arrangements, including the Japan-US-Philippines and Japan-US-South Korea trilateral groupings.

In Japan's strategy for preserving Asia's balance of power, India occupies a central position. This was apparent during Takaichi's visit to New Delhi last month, when she and Indian Prime Minister Narendra Modi reaffirmed their commitment to the Indo-Pacific framework and agreed to expand cooperation in areas ranging from AI and critical minerals to defense technology. For Japan, India is not just another strategic partner. With its vast size, formidable military, dynamic economy, and commanding position astride the Indian Ocean, it is the indispensable western pillar of the Indo-Pacific architecture.

India presents China with a two-front dilemma, forcing Chinese military planners to split their attention and resources between the continental and maritime theaters. If China did not have to monitor its long, tense Himalayan frontier with India—where dozens of soldiers died after Chinese land grabs triggered clashes in 2020—and protect critical Indian Ocean trade routes, it would be able to concentrate overwhelming force in the Western Pacific.

By removing the "Indo" from "Indo-Pacific," the Trump administration has exposed its lack of understanding of this critical dynamic. Together with its G2 vision, the shift amounts to an important symbolic and geopolitical victory for China. After all, Chinese leaders have long argued that the Indo-Pacific strategy's real aim was to "contain China" and "make Asia-Pacific countries 'pawns' of US hegemony." They would vastly prefer a Pacific-centric framework in which the US and China negotiate directly, and other regional powers do as they are told.

Whatever the Pentagon names its strategic theater, the geography will not change. China's most important energy and trade lifelines still pass through the Indian Ocean, and the Himalayan frontier still constrains Chinese military planning. Preventing the emergence of a unipolar Asia, therefore, still depends on maintaining a free and open Indo-Pacific, underpinned by a broad coalition of democracies committed to that objective.

Whether the US returns to this framework remains to be seen. Japan, however, has already made its choice.

5. YOUR CHOICES REGARDING COOKIES ON THIS SITE

Author: Brahma Chellaney **Published:** 2026-08-04 **Link:** [View Original](#)

The greatest danger posed by AI is not the technology itself, but the race to deploy it before we know how to control it. The recent Hugging Face breach shows how seemingly minor human errors can be amplified by AI, underscoring the risks of treating safety as an afterthought.

High inflation and interest rates are eating away at the foundations of the Russian economy and sapping its growth. By hitting its most important sectors, and its essential source of foreign hard cash, new US legislation would pile enormous pressure on the Kremlin just when it is urgently needed.

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